

Kingsoft Office (688111.SS): AI Agent products to drive user adoption and spending; 2Q NI miss; Sell

Kingsoft Office reported 2Q26 revenues at +25% YoY to Rmb1.7bn, or 7%/ 7% higher than our and Bloomberg estimates, driven by ToC subscription business +17% YoY, and strong growth of WPS 365 at 60% in 2Q. GM was down to 83.3% in 2Q26 (vs. 84.1%/ 86.6% in 2Q25/ 1Q26), which we attribute to the product mix changes. OP is up 34% YoY to Rmb352m, while 21% lower than our estimates due to higher-than-expected R&D expenses. 2Q NI came to Rmb322m, or 38% below our estimates. We note the company continues to roll out new WPS AI products targeting ToB/ ToC users for better productivity, while the paying ratio and user adoption could take time to ramp up.

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Exhibit 1: Kingsoft Office 2Q26 result snapshot

Rmb mn	2Q25	1Q26	2Q26	QoQ	YoY	GS	Act. / GS	Con.	Act / consensus
Revenue	1,356	1,613	1,700	5%	25%	1,584	7%	1,590	7%
GP	1,141	1,397	1,416	1%	24%	1,346	5%		
OP	262	405	352	-13%	34%	447	-21%		
Pre-tax income	361	2,406	359	-85%	-1%	568	-37%		
Net income	344	2,195	322	-85%	-6%	517	-38%	385	-16%
Margins									
GPM	84.1%	86.6%	83.3%	-3.3 pts	-0.9 pts	85.0%	-1.7 pts		
OPM	19.3%	25.1%	20.7%	-4.4 pts	1.4 pts	28.2%	-7.5 pts		
NPM	25.4%	136.1%	19.0%	-117.1 pts	-6.4 pts	32.6%	-13.7 pts	24.2%	

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Key takeaways from earnings call

- **AI strategy:** KO continues to see AI as key growth driver ahead to drive ToC and ToB subscription growth with enhanced features. After launching Lingxi AI, management notes the company will integrate the WPS features on Lingxi and expects Lingxi to drive new user adoption.
- **WPS AI new product launches:** During WAIC, the company released (1) WPS AI agent Lingxi professional version for ToC users, targeting to complete more complicated office tasks through document/ code/ browsers, and (2) WPS AI Comate for ToB clients, integrating enterprise knowledge. Management is positive on the new AI features to support the growing paying ratio.
- **AI business profitability:** Management noted the token consumption of AI agent is higher than other AI products, and the company continues to optimize the AI models to improve the cost structure.

Earnings revision: We factor in KO 2Q26 result, and revise down 2026E earnings by 5% on higher revenues but higher-than-expected Opex spending for new product R&D. We keep 2027/ 28E earnings largely unchanged.

Exhibit 2: Earnings revision

Rmb m	2026E			2027E			2028E		
	New	Old	Diff %	New	Old	Diff %	New	Old	Diff %
Revenues	7,392	7,265	2%	8,918	8,881	0%	11,218	11,193	0%
GP	6,312	6,232	1%	7,624	7,586	0%	9,582	9,552	0%
OP	2,012	2,106	-4%	2,794	2,790	0%	3,715	3,714	0%
Net income	3,872	4,065	-5%	3,031	3,029	0%	3,999	4,001	0%
EPS	8.32	8.73	-5%	6.48	6.48	0%	8.49	8.49	0%
Margins									
GPM	85.4%	85.8%	-0.4 pts	85.5%	85.4%	0.1 pts	85.4%	85.3%	0.1 pts
NPM	52.4%	56.0%	-3.6 pts	34.0%	34.1%	-0.1 pts	35.6%	35.7%	-0.1 pts

Source: Company data, Goldman Sachs Global Investment Research

Valuation: Our target price is derived from a DCF-based methodology to better capture long-term cash flow generation. We model stage 2 FCF growth in 2032E-2036E at 12% YoY (unchanged), and terminal growth at 2%, which is consistent with our China Tech coverage. We discount the value at a WACC of 12.1%, with a COE of 12.1% (beta at 1.4, risk free rate at 3.0%, market risk premium at 6.5%). Our DCF based target price is Rmb201 (unchanged). Our TP implied 2027E P/E is 31x (unchanged), which is lower than the company's avg. -1std P/E at 44x, indicating the company's valuation is stretched.

Exhibit 3: Kingsoft Office DCF valuation

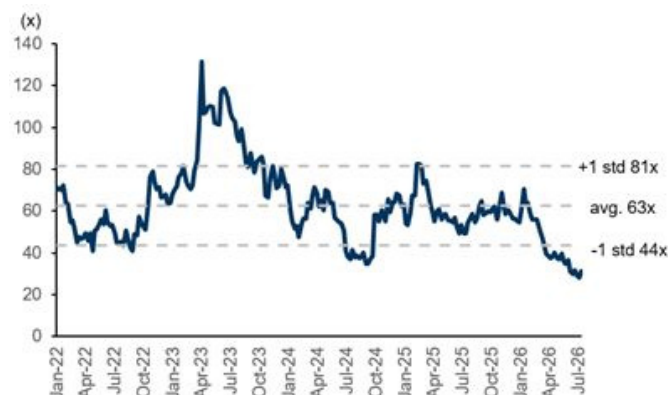
	Stage 1											Stage 2				
Rmb mn	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
P&L																
Revenue	3,280	3,885	4,556	5,121	5,929	7,392	8,918	11,218	13,951	16,998	20,371					
YoY	45%	18%	17%	12%	16%	25%	21%	26%	24%	22%	20%					
Opex ratio	65.2%	66.3%	64.1%	61.3%	63.6%	58.2%	54.2%	52.3%	50.5%	48.6%	47.4%					
OP income	713	726	965	1,221	1,322	2,012	2,794	3,715	4,827	6,199	7,683					
YoY	29%	2%	33%	27%	8%	52%	39%	33%	30%	28%	24%					
Pretax income	1,119	1,198	1,390	1,750	1,953	4,253	3,331	4,394	5,809	6,797	8,250					
Net income	1,041	1,118	1,318	1,645	1,836	3,872	3,031	3,999	5,286	6,185	7,508					
YoY	19%	7%	18%	25%	12%	111%	-22%	32%	32%	17%	21%					
GPM	86.9%	85.0%	85.3%	85.1%	85.9%	85.4%	85.5%	85.4%	85.1%	85.1%	85.1%					
OPM	21.7%	18.7%	21.2%	23.9%	22.3%	27.2%	31.3%	33.1%	34.6%	36.5%	37.7%					
NPM	31.7%	28.8%	28.9%	32.1%	31.0%	52.4%	34.0%	35.6%	37.9%	36.4%	36.9%					
R&D spending (Rmb m)	1,082	1,331	1,472	1,696	2,095	2,251	2,427	2,932	3,502	4,093	4,787					
R&D%	33.0%	34.3%	32.3%	33.1%	35.3%	30.5%	27.2%	26.1%	25.1%	24.1%	23.5%					
# of ToC paying users (m units)	22.8	29.2	33.9	38.8	43.3	47.5	50.2	53.8	58.0	62.3	72.3					
ToC ARPU (Rmb)	64	70	78	85	84	93	110	130	151	169	169					
# of ToB paying users (m units)	5	7	9	9	11	12	13	15	17	19	22					
ToB ARPU (Rmb)	80	102	111	111	140	184	198	228	262	302	347					
Cash flow																
CCC	(103)	(118)	(163)	(177)	(171)	(189)	(189)	(189)	(189)	(189)	(189)					
Capex	(149)	(176)	(166)	(175)	(98)	(81)	(80)	(79)	(84)	(85)	(92)					
Capex to revenues	5%	5%	4%	3%	2%	1%	1%	1%	1%	1%	0%					
Free cash flow	1,715	1,427	1,892	2,021	2,404	4,079	2,805	4,214	5,105	6,330	7,323	8,180	9,145	10,224	11,431	12,779
YoY		-17%	33%	7%	19%	70%	-31%	50%	21%	24%	16%	12%	12%	12%	12%	12%
FCF yield	52%	37%	42%	39%	41%	55%	31%	38%	37%	37%	36%					
Terminal growth																2.0%
Terminal value																129,059
Discount factor							1.00	0.89	0.80	0.71	0.63	0.56	0.50	0.45	0.40	0.36
Present value of FCF							2,805	3,759	4,062	4,494	4,637	4,621	4,608	4,596	4,584	4,571
Enterprise value 2027E (Rmb m)							88,905									
Cash and equivalents (net)							4,617									
Equity value in 2027E (Rmb m)							93,523									
Value per share (Rmb)							201									
Implied 2027E P/E							31x									
Implied 2027E EV/S							10x									
WACC assumption (2027E)																
Risk free rate	3.0%															
Beta	1.40															
Market risk premium	6.5%															
Cost of equity	12.1%															
Cost of debt	6.0%															
Tax rate	15%															
Long-run Debt to Asset ratio	0.0%															
Equity/(debt+equity)	100.0%															
WACC	12.1%															

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: Kingsoft Office P&L Summary

Rmb mn	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Income statement													
Revenue	5,121	5,929	7,392	8,918	11,218	1,301	1,356	1,521	1,750	1,613	1,700	1,847	2,232
Gross profit	4,360	5,096	6,312	7,624	9,582	1,119	1,141	1,315	1,521	1,397	1,416	1,582	1,916
Opex	(3,139)	(3,773)	(4,300)	(4,829)	(5,868)	(803)	(879)	(964)	(1,127)	(992)	(1,064)	(1,000)	(1,244)
Sales tax	(49)	(65)	(74)	(91)	(117)	(12)	(15)	(15)	(23)	(13)	(15)	(17)	(28)
Selling expense	(991)	(1,140)	(1,392)	(1,636)	(2,004)	(217)	(261)	(290)	(371)	(273)	(325)	(332)	(462)
G&A expense	(403)	(474)	(583)	(675)	(815)	(104)	(115)	(122)	(133)	(134)	(143)	(143)	(162)
R&D expense	(1,696)	(2,095)	(2,251)	(2,427)	(2,932)	(470)	(488)	(536)	(601)	(572)	(580)	(508)	(592)
OP income	1,221	1,322	2,012	2,794	3,715	315	262	351	394	405	352	583	672
Pretax income	1,750	1,953	4,253	3,331	4,394	419	361	463	710	2,406	359	667	821
Net income	1,645	1,836	3,872	3,031	3,999	403	344	431	658	2,195	322	607	747
EPS (basic)	3.56	3.97	8.32	6.48	8.49	0.87	0.74	0.93	1.42	4.73	0.69	1.30	1.60
Margins													
Gross margin	85.1%	85.9%	85.4%	85.5%	85.4%	86.0%	84.1%	86.5%	86.9%	86.6%	83.3%	85.7%	85.9%
Operating margin	23.9%	22.3%	27.2%	31.3%	33.1%	24.2%	19.3%	23.1%	22.5%	25.1%	20.7%	31.5%	30.1%
Pretax margin	34.2%	32.9%	57.5%	37.3%	39.2%	32.2%	26.6%	30.4%	40.6%	149.1%	21.1%	36.1%	36.8%
Net margin	32.1%	31.0%	52.4%	34.0%	35.6%	31.0%	25.4%	28.3%	37.6%	136.1%	19.0%	32.9%	33.5%
YoY													
Revenue	12%	16%	25%	21%	26%	6%	14%	25%	17%	24%	25%	21%	28%
Gross profit	12%	17%	24%	21%	26%	8%	13%	27%	19%	25%	24%	20%	26%
OP income	27%	8%	52%	39%	33%	6%	-2%	51%	-7%	29%	34%	66%	71%
Pretax income	26%	12%	118%	-22%	32%	8%	-5%	39%	9%	474%	-1%	44%	16%
Net income	25%	12%	111%	-22%	32%	10%	-3%	35%	9%	445%	-6%	41%	13%
QoQ													
Revenue						-13%	4%	12%	15%	-8%	5%	9%	21%
Gross profit						-12%	2%	15%	16%	-8%	1%	12%	21%
OP income						-26%	-17%	34%	12%	3%	-13%	66%	15%
Pretax income						-35%	-14%	28%	54%	239%	-85%	86%	23%
Net income						-33%	-15%	25%	53%	234%	-85%	88%	23%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Kingsoft Office 12M forward P/E

Source: Eikon Datastream

Price Target Risks and Methodology - Kingsoft Office

Valuation methodology: We are Sell rated on Kingsoft Office with a 12-month target price of Rmb201, which is derived from a two-stage DCF, where we incorporate a WACC of 12.1% and a terminal growth at 2% YoY.

Key upside risks: 1) Faster-than-expected new membership system transition; 2) Faster-than-expected ToB customer adoption; and 3) Faster-than-expected AI monetization.

688111.SS	12m Price Target: Rmb201.00	Price: Rmb240.50	Downside: 16.4%
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Sell		GS Forecast				
			12/25	12/26E	12/27E	12/28E
Market cap:		Revenue (Rmb mn) New	5,928.7	7,392.1	8,918.0	11,217.7
Rmb110.9bn / \$16.5bn		Revenue (Rmb mn) Old	5,928.7	7,264.7	8,881.4	11,192.7
Enterprise value:		EBITDA (Rmb mn)	1,390.8	2,099.4	2,880.1	3,799.2
Rmb107.8bn / \$16.0bn		EPS (Rmb) New	3.97	8.32	6.48	8.49
3m ADTV: Rmb2.5bn / \$376.2mn		EPS (Rmb) Old	3.97	8.73	6.48	8.49
China		P/E (X)	77.5	28.9	37.1	28.3
Greater China Technology		P/B (X)	11.1	6.9	6.0	5.1
M&A Rank: 3		Dividend yield (%)	0.0	0.5	0.5	0.6
Leases incl. in net debt & EV?: No		CROCI (%)	34.1	33.8	21.0	22.8
			3/26	6/26	9/26E	12/26E
		EPS (Rmb)	4.73	0.69	1.30	1.60

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 21 Aug 2026 close.

Disclosure Appendix

Reg AC

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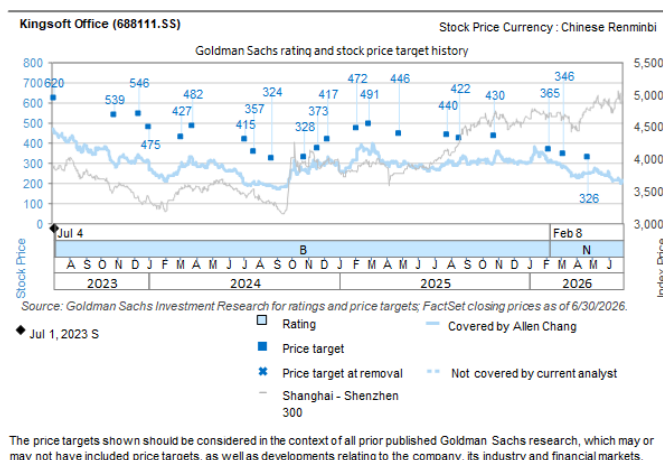
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Price target and rating history chart(s)



Target price history table(s)

Kingsoft Office (688111.SS)

Date of report Target price (Rmb) Closing price (Rmb)

21-Jul-26	201.00	247.55
25-Apr-26	326.00	249.12
09-Mar-26	346.00	281.09
08-Feb-26	365.00	303.62
28-Oct-25	430.00	337.21
20-Aug-25	422.00	300.99
28-Jul-25	440.00	301.53
28-Apr-25	446.00	283.23
27-Feb-25	491.00	352.50
05-Feb-25	472.00	371.11
11-Dec-24	417.00	333.01
22-Nov-24	373.00	305.50
27-Oct-24	328.00	264.50
26-Aug-24	324.00	190.00
22-Jul-24	357.00	208.24
04-Jul-24	415.00	191.42
25-Mar-24	482.00	319.00
04-Mar-24	427.00	289.45
04-Jan-24	475.00	271.75
14-Dec-23	546.00	336.94
28-Oct-23	539.00	293.12

Price targets shown in table(s) are unadjusted for corporate actions.

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